

PMS and AIF: Unlocking Sophisticated Investment Avenues for HNIs



Anil Laxman Tabib
Founder
Foresightnad

In India's evolving financial landscape, Portfolio Management Services (PMS) and Alternative Investment Funds (AIF) have emerged as powerful investment vehicles tailored for high-net-worth individuals (HNIs). Both options provide sophisticated strategies for affluent investors seeking personalised and high-growth opportunities. Regulated by the Securities and Exchange Board of India (SEBI), these investment avenues are attractive choices

Understanding PMS and AIF

PMS is a tailored investment service where professionals actively manage a customised portfolio depending on the investor's requirement. Based on the investor's risk appetite, financial goals, and investment horizon, portfolio managers strategically select and adjust a mix of stocks, fixed-income instruments, or unlisted securities.

PMS portfolios offer transparent, investor-level taxation. Capital gains and dividends are taxed directly in the hands of the investor, just like in direct equity or

debt investing. This allows investors to actively plan, optimise, and even harvest tax gains/losses depending on market conditions making PMS a smart choice for those who value control and clarity in their tax strategy.

AIFs, are privately pooled investment funds that allow investors to access alternative asset classes. SEBI has categorised AIFs into three segments:

Category I AIFs - Invest in startups, early-stage ventures, and businesses with high socio-economic impact.

Category II AIFs- Includes private equity funds, real estate funds, and distressed asset funds, targeting private enterprises, infrastructure projects, and corporate debt restructuring.

Category III AIFs – Apply complex trading strategies, such as leverage, derivatives, arbitrage, and hedging, to generate returns across market cycles.

Category I & II AIFs enjoy a pass-through structure where gains are taxed in the hands of the investor ensuring transparency, and avoiding any tax inefficiency.

Category III AIFs are taxed at the fund level at the maximum marginal rate.

Where Do These Investment Vehicles Allocate Capital?

While PMS primarily invests in publicly listed securities and occasionally unlisted equities—it provides investors with agility in managing their portfolios based on market dynamics and individual objectives.

AIF investment universe is relatively much wider with Category I AIFs focusing on high-growth startups and sectors with government incentives, while Category II AIFs explores real estate, private equity, and distressed debt. Category III

AIFs, known for their hedge-fund-like strategies, engage in derivative trading, structured finance, and arbitrage-based investments.

Who Can Invest in PMS and AIFs?

Both PMS and AIFs are exclusive to HNIs and accredited investors due to the complexity and capital requirements involved. SEBI mandates a minimum investment of ₹50 lakhs for PMS and ₹1 crore for AIFs. However, accredited investors (with income over ₹2 crore or net worth above ₹7.5 crore) can invest in AIFs with lower amounts. Since these investments often involve illiquid assets or high-risk strategies, investors must adopt a long-term perspective to fully realise their potential gains.

How Do PMS and AIFs Enhance Diversification?

Through PMS and AIFs, an investor has the opportunity to go beyond conventional strategies. PMS allows investors to benefit from concentrated portfolios or other strategies designed to generate superior risk-adjusted returns. Unlike PMS, AIFs offer diversification through non-traditional investments, such as startups, private equity, real estate, and hedge-fund strategies. These vehicles help investors mitigate volatility and enhance portfolio stability.

Use Case: Structured debt AIFs which generate high yields were used to invest profits booked from the stock markets. This timely shift enabled asset diversification without compromising on Returns.

To conclude, before committing capital, investors should assess factors like liquidity, risk, fees, and strategy alignment such that the product fitment is aligned with the overall portfolio requirements.